

Money creation

Banks hold only a fraction of their deposits as cash, and this 'fractional-reserve' system is used to create money. Suppose that a bank has \$1,000 of deposits, contributing \$1,000 to money supply. The bank holds just $1/10$ of its deposits as cash reserves: it keeps \$100 and lends out \$900. Savers still have deposits totalling \$1,000, but borrowers have \$900, an addition to the money supply on top of the original \$1,000. The economy is no richer in real terms – the borrowers eventually have to pay back the \$900 – but there is now a greater stock of money for use in transactions. When borrowers spend their \$900, it ends up with another bank, which keeps a fraction of it as cash before lending out the rest, and so on.

A 'reserve ratio' of $1/10$ eventually generates a money supply of \$10,000 from the original \$1,000. The lower the ratio, the more money that is generated. Governments try to control money supply by influencing this process – for example, by changing interest rates or by restricting the reserve ratio.

